

KINGDOM OF CAMBODIA
NATIONAL – RELIGION – KING



MINISTRY OF ECONOMY AND FINANCE

No. 1038 MEF.BrK

PRAKAS
ON
PROCEDURE FOR RECEIVING AND RESOLVING
INSURANCE COMPLAINTS

Deputy Prime Minister, Minister of Economy and Finance

- Having seen the Constitution of the Kingdom of Cambodia;
- Having seen the Royal Decree No. NS/RKT/0918/925 dated September 6, 2018, concerning the Nomination of the Royal Government of the Kingdom of Cambodia;
- Having seen the Royal Decree No. NS/RKT/0320/421 dated March 30, 2020, concerning the Appointment and Modification of the Composition of the Royal Government of Kingdom of Cambodia;
- Having seen the Royal Kram No. NS/RKT/0618/012 dated June 28, 2018, promulgating the Law on the Organization and Functioning of the Council of Ministers;
- Having seen the Royal Kram No. NS/RKT/0196/18 dated January 24, 1996, promulgating the Law on the Establishment of the Ministry of Economy and Finance;
- Having seen the Royal Kram No. NS/RKT/0814/021 dated August 4, 2014, promulgating the Law on Insurance;
- Having seen Sub-Decree No. 488 ANKr. BK dated October 16, 2013, concerning the Organization and Functioning of the Ministry of Economy and Finance;
- Having seen Sub-Decree No. 75 ANKr. BK dated May 25, 2017, concerning the Modification of Sub-Decree No. 488 dated October 16, 2013 on the Organization and Functioning of the Ministry of Economy and Finance;
- Having seen Sub-Decree No. 76 ANKr. BK dated June 13, 2018, concerning the Organization and Functioning of the Legal Council of the Ministry of Economy and Finance;
- Having seen Sub-Decree No. 106 ANKr. BK dated October 22, 2001, concerning the Insurance;
- Pursuant to the necessity of the Ministry of Economy and Finance

HEREBY DECIDES

Chapter 1 General Provisions

Article 1 ..

The objective of this Prakas is to improve the efficiency in receiving and resolving insurance complaints and determine procedure for receiving and resolving insurance complaints in the insurance sector.

Article 2 ..

The scope of this Prakas applies to all licensed insurance institutions carrying out insurance businesses in the Kingdom of Cambodia and any persons who are dissatisfied or have disputes in the insurance sector.

Chapter 2 Competent Authority

Article 3 ..

The Department of Insurance and Pension of the General Department of Financial Industry of the Ministry of Economy and Finance has competent authority in receiving and resolving insurance complaints in the Kingdom of Cambodia before the complaint may be brought to the arbitration or competent court, except for criminal charges.

Chapter 3 Rights and Obligations of the Department of Insurance and Pension

Article 4 ..

The Department of Insurance and Pension has the following rights:

- a. Summon disputing parties for information's inquiry or clarification;
- b. Convene meeting between relevant parties to the dispute resolve as timely as possible;
- c. Request for experts to participate in the complaint resolution process;
- d. Monitor the implementation of the outcome of dispute conciliation;
- e. Take legal measures pursuant to insurance law and regulations against insurance institution which the complaint is filed against and is found to have commit insurance activities or transaction causing adverse impacts on insurance sector or violated applicable insurance law and regulations.

Article 5 ..

The Department of Insurance and Pension has the following obligations:

- a. Facilitate and conciliate the dispute as soon as possible and resultative;
- b. Analyze the subject matter of insurance complaint to determine the issue or dissatisfaction;
- c. Maintain impartiality between disputing parties to ensure justice;
- d. Ease disputing parties in resolving the dispute amicably based on transparency;
- e. Encourage and induce disputing parties to reach conciliation agreement or acceptable clarification;

- f. Keep information and evidences submitted by disputing parties confidential;
- g. Perform other roles and duties as stated in this Prakas and relevant regulations.

Chapter 4

Types of Insurance Complaint

Article 6 ..

There are 2 types of insurance complaint:

1. Insurance Dissatisfaction Complaint refers to a complaint made by any person who is dissatisfied with insurance activities and require clarification and improvement on those insurance activities.
2. Insurance Dispute Complaint refers to a complaint required to be conciliated between any disputing party or both disputing parties in a dispute.

Chapter 5

Procedure for Receiving and Resolving Insurance Complaint

Part 1

Procedure for Receiving and Resolving Insurance Dissatisfaction Complaint

Article 7 ..

Any persons who are dissatisfied with any insurance activities in the Kingdom of Cambodia have the right to file Insurance Dissatisfaction Complaint to insurance institutions for clarification and improvement on those insurance activities or to the Department of Insurance and Pension to facilitate in resolving the complaint.

Article 8 ..

Applicant shall fill in the complaint application form in a format provided by the Department of Insurance and Pension.

Article 9 ..

The Department of Insurance and Pension shall appoint the officer to review and resolve the complaint according to the working schedule of the officer stipulated in the Law on Common Status of Civil Servants of the Kingdom of Cambodia.

Article 10 ..

The Department of Insurance and Pension shall forward the complaint to the insurance institution which is the subject of complaint.

Article 11 ..

Insurance institutions shall respond with clarification or improvement within 3 (three) working days after the date receiving complaint order from the Department of Insurance and Pension.

Article 12 ..

The Department of Insurance and Pension shall provide clarification to the Applicant within 7 (seven) working days after the date receiving the complaint.

Article 13 ..

For Insurance Dissatisfaction Complaint, after receiving response from the insurance institution, the Department of Insurance and Pension shall provide the clarification in writing or orally to the Applicant through the following methods:

- a. Telephone;
- b. Social media;
- c. Email;
- d. Letter.

Article 14 ..

The Department of Insurance and Pension shall keep the Insurance Dissatisfaction Complaint application forms, response letters of insurance institutions, clarification letters for the applicant, instruction letters and other documents as case files.

Article 15 ..

Insurance Dissatisfaction Complaint process can be suspended according to the request of the applicant by notifying the Department of Insurance and Pension.

Part 2

Procedure for Receiving and Conciliating Insurance Dispute Complaint

Article 16 ..

Any persons who have insurance dispute with insurance institutions have the right to file complaints to the insurance institutions for resolution or to the Department of Insurance and Pension for conciliation.

Article 17 ..

Applicant shall fill in the complaint application form in a format provided by the Department of Insurance and Pension.

Article 18 ..

The Department of Insurance and Pension shall appoint the officer to receive the insurance dispute complaint.

Article 19 ..

Respondent shall respond with clarification within 5 (five) working days after receiving the complaint order from the Department of Insurance and Pension.

Article 20 ..

Applicant shall be deemed agreed to the clarification if applicant does not respond to the clarification of the respondent within 5 (five) working days after the date receiving the clarification of the respondent through complaint order from the Department of Insurance and Pension via the following methods:

- a. Telephone;
- b. Social media;

- c. Email;
- d. Letter.

Article 21 ..

During the complaint process, the Department of Insurance and Pension shall prepare summoning letters to all disputing parties for information inquiry before conciliation by attaching with the complaint application form and deliver to and are signed certify the receipt by the parties.

The information inquiry shall be done on each disputing party separately. In every information inquiry, the Department of Insurance and Pension shall document the meeting with acknowledged signature by the responsible officer of the Department of Insurance and Pension and the party being inquired.

Article 22 ..

Every information inquiry and conciliation session in the complaint process shall be held at the Ministry of Economy and Finance.

Article 23 ..

If the applicant or representative of the applicant does not participate in information inquiry or conciliation sessions as set by the Department of Insurance and Pension twice consecutively without valid reason, the complaint shall be deemed null and void.

Article 24 ..

Applicant may suspend or withdraw the complaint by fill in form requesting suspension or withdrawal of insurance dispute complaint in a format set by the Department of Insurance and Pension.

Article 25 ..

The procedure for insurance dispute complaint can be suspended or delayed pursuant to the request of respondent unless respondent provide valid reason and is approved by the Department of Insurance and Pension.

Article 26 ..

Disputing parties have the following rights:

- a. Provide statement of facts and additional substantial documents;
- b. Make a request or give recommendation during the complaint process.

Article 27 ..

Disputing parties have the following obligations:

- a. Participate in complaint process according to the summon of the Department of Insurance and Pension in good faith, ethic, and conduct;
- b. Cooperate fully with the Department of Insurance and Pension during the complaint process;
- c. Comply with the contents and conditions as stated in this Prakas.

Article 28 ..

Insurance dispute complaint shall be concluded in the following circumstances:

- a. Applicant withdraws the complaint;
- b. Disputing parties agree to withdraw from conciliation;
- c. Disputing parties come to conciliation agreement;
- d. Applicant does not respond within time period set by the Department of Insurance and Pensions as stated in Article 21.

Article 29 ..

After the conclusion of conciliation, the Department of Insurance and Pension shall provide a report on the outcome of conciliation to each disputing party, and the report must include the following elements:

- a. Issue of the dispute;
- b. Argument and evidence of the disputing parties;
- c. Concluding statement;
- d. Outcome of the conciliation.

Article 30 ..

The Department of Insurance and Pension shall keep record of information inquiry and the record of the outcome of conciliation which are signed by the conciliator and disputing parties.

Article 31 ..

The Department of Insurance and Pension shall conclude the complaint process within 30 (thirty) working days after the date receiving the complaint. If the disputing parties do not reach a conciliation agreement, disputing parties can choose to move for further procedure as stated in Article 92 of the Law on Insurance.

Chapter 6

Obligations and Procedure for Receiving and Resolving Insurance Complaint for Insurance Company

Part 1

Obligations of Insurance Company

Article 32 ..

Insurance company shall create a mechanism for receiving and resolving insurance complaint of insurance customers or the public and shall prepare a principal guideline on the mechanism for receiving and resolving insurance complaint with approval of the board of directors and shall notify to the Ministry of Economy and Finance.

Article 33 ..

Insurance company shall explain clearly about the mechanism for receiving and resolving insurance complaint to prospective clients in every sale of insurance policy.

Article 34 ..

Insurance company shall submit semi-annually report on the outcome of insurance complaint resolution to the Ministry of Economy and Finance prior to the 15th of next month.

Part 2

Procedure for Receiving and Resolving Insurance Complaint for Insurance Company

Article 35 ..

Company shall resolve or provide clarification to the applicant within 5 (five) working days after the date receiving complaint. Company can request for additional period if there is valid reason and is approved by the Department of Insurance and Pension.

Chapter 7
Transitional Penalty

Article 36 ..

Shall be subject to a transitional penalty of 2,000,000 riels for any insurance institutions that violate Article 11 of this Prakas.

Article 37 ..

Shall be subject to a transitional penalty of 2,000,000 riels for any insurance companies that violate Article 19 of this Prakas.

Article 38 ..

Shall be subject to a transitional penalty of 2,000,000 riels for any insurance companies that violate Article 27 of this Prakas.

Article 39 ..

Shall be subject to a transitional penalty of 4,000,000 riels for any insurance companies that violate Article 32 of this Prakas.

Article 40 ..

Shall be subject to a transitional penalty of 2,000,000 riels for any insurance companies that violate Article 34 of this Prakas. In the event of recidivism, insurance companies shall be subject to disciplinary sanctions as stipulated in the Law on Insurance.

Article 41 ..

Shall be subject to a transitional penalty of 2,000,000 riels for any insurance companies that violate Article 35 of this Prakas. In the event of recidivism, insurance companies shall receive disciplinary sanctions stipulated in the Law on Insurance.

Article 42 ..

In the event of recidivism against transitional penalties of Article 36, Article 37, Article 38, Article 39, Article 40, and Article 41, companies shall be subject to disciplinary sanction as stated in Article 95 of Chapter 10 of the Law on Insurance.

Chapter 8 Transitional Provision

Article 43 ..

Within 6 (six) months from the effective date of this Prakas, all insurance companies carrying out insurance business in the Kingdom of Cambodia shall create a mechanism for receiving and resolving insurance complaints of insurance customers or the public and prepare an principal guideline on the mechanism for receiving and resolving insurance complaints as stated in Article 32 of this Prakas.

Chapter 9 Final Provisions

Article 44 ..

Any provisions contrary to this Prakas shall be abrogated.

Article 45 ..

Cabinet Director, Secretary General, Royal Government Delegate in charge as Director General of General Department, Director General of all General Departments, Inspector General of General Inspectorate Departments, Heads of relevant Units under the Ministry of Economy and Finance and all insurance institutions shall implement this Prakas according to their respective role from the signatory date.

Phnom Penh, 11th December 2020

Deputy Prime Minister

Minister of Economy and Finance

(Signed and stamped)

Akka Bandit Sapheacha Aun Pornmoniroth

CC:

- Office of the Council of Ministers
- Cabinet of Samdech Akka Moha Sena Padei Techo Prime Minister
- Cabinet of Samdech, His Excellency, Her Excellency Deputy Prime Minister
- All ministries/institutions
- Capital, provincial hall
- As in Article 45
- Royal Gazette
- Archives



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Insurance Complaint Application Form

- ☐ **Insurance Dispute Complaint Application Form**
- ☐ **Insurance Dissatisfaction Complaint Application Form**

Applicant:

(Individual) Name..... Sex..... Date of Birth.....
Current Address No..... Street..... Village..... Commune.....
District..... Province/Capital..... Contact Number.....
Email..... Social Media (Facebook Messenger).....

Or (Legal Entity) Company's Name.....
Business objective..... Address.....
..... Contact Number.....
Email..... Social Media (Facebook Messenger).....

Respondent: Insurance Company's name.....

To

Director of Insurance and Pension Department

Subject Matter:

Cause (Fact):

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Claim:

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Evidence:
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I hereby declare that all the information provided including attached documents are true and completely filled in based on my personal knowledge and there is no contradiction to the statement made to the authority. If there is any fraudulent information provided, I undertake to be responsible before the law.

Phnom Penh,

Signature or thumbprint

Applicant or representative

Name:

Contact Number:

Attached Documents:

- A copy of identity card
- A copy of business license
- A copy of insurance contract
- Evidence
- Power of Attorney
- Other supporting documents (if any)

— ❦ —

Applicant:

Or (Legal Entity) Company's Name.....
 Business objective..... Address.....
 Contact Number.....
 Email..... Social Media (Facebook Messenger).....

To

Subject Matter:

[illegible]

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I hereby declare that all the information provided including attached documents are true and completely filled in based on my personal knowledge and there is no contradiction to the statement made to the authority. If there is any fraudulent information provided, I undertake to be responsible before the law.

Phnom Penh,

Signature or thumbprint

Applicant or representative

Name:

Contact Number:

Attached Documents:

- A copy of the complaint
- Other supporting documents (if any)